fact, Pakistan that was the much more affected party. China also realized that the Americans had resiled from their earlier view that China could play some sort of a larger role in South Asia. Talbott's address to the Conference of Diplomacy and Preventive Defense at Palo Alto, California, on 16 January 1999, where he referred to China as 'an immensely complicating dimension' [37] in South Asia, was in marked contrast to the earlier US position that China was a positive factor for peace and stability in the region. Even in the sub-continent, events were transpiring to further dilute China's policy of 'coolness and isolation'. Vajpayee made his historic bus-ride to Lahore in February 1999 and, for a while, it appeared as if India and Pakistan might make a new beginning.

Why did China not anticipate these developments? While the Chinese had a solid system of academic research on a variety of foreign policy subjects supported by multiple think-tanks and research institutions, it is also true that the sort of speculative thinking that is permissible in other societies was not possible in China. In the case of India-related research, a set of relatively ageing academics, mostly on the wrong side of sixty, determined the 'line' on India. Since they were the only ones with access to policy-making circles, the younger researchers simply took their cue from the old guard. Despite the high degree of sophistication in research and the abundant resources that are now available to the Chinese think-tank community, it still continues to suffer from this problem, and perhaps this is even more the case in the New Era of Xi Jinping, because research is required to align to the Party line and not the other way around.

It was, finally, at some point at the turn of the new year (1999) that the Chinese finally realized that they were in a hole of their own making. They needed a way out from the impasse. The Indian leadership had correctly surmised that if they